SHINING PAY PROSPECTS

TOP SKILLS IN DEMAND	EXPERIENCE RANGE IN DEMAND	AVERAGE SALARY RANGE IN OFFER (Rs lakh per annum)	HIKE EXPECTED BY CANDIDATE (last year)	HIKE EXPECTED BY CANDIDATE (current year)
Fullstack engineers	4-7 years	15-32	25-35%	70-120%
Data engineers/data analytics	3-6 years	11-26	15-20%	50-80%
Front-end engineers	4-7 years	15-32	35-40%	60-100%
SRE/DevOps engineer	5-8 years	17-40	10-15%	50-70%
Data Scientists	5-8 years	15-35	15-20%	50-80%
Back-end engineers	4-7 years	15-30	35-40%	50-80%

Source: Xpheno

there has been a shift towards using open-source coding that powers a lot of the innovation in technology these days—as against proprietary software where the source codes are protected. Hence, coders with skills to develop apps using these are in great demand. And money is not a consideration. As the GCC manager of the US IT firm reveals, his negotiations with a prospective hire for a fullstack developer position went from Rs 30 lakh per annum to Rs 36 lakh before the candidate landed a Rs 44 lakh p.a. offer from another MNC.

TeamLease's Nanduri predicts that the trend will be short-lived. Fifty per cent of the skills that companies are hiring for these days are digital. "Because of the high demand, the salaries are currently higher. But over a period of 1-2 quarters, it will settle down, because a lot of organisations are also building a talent pipeline through freshers," he says.

Karanth of Xpheno points out how the start-up ecosystem, which was flush with funds last year, was also chasing the same talent pool, as were the increasing number of GCCs. Typically, start-ups pay the highest salaries—or offer employee stock options—to software developers. It may not last long as concerns of layoffs have emerged at start-ups.

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Reiterating that the imperatives of a rapid digital transformation during the pandemic accelerated the demand for IT talent, Girish Nandimath, global head of talent acquisition at TCS, observes, "This has seen a churn of IT talent across the industry, especially in the junior bracket." TCS says it stepped up the hiring of fresh graduates and training them on digital skills along with focused hiring of experienced professionals. The company's net addition of 103,000 employees in the previous fiscal was an all-time high. He also says the attrition rate is falling. "While the attrition rates for FY22 were high, we are seeing the numbers moderating quarter on quarter."

Prof Debabrata Das, director of the International Institute of Information Technology in Bengaluru, says the trend is a natural outcome of the demand-supply dynamic in the job market. Salaries of freshers recruited from his institute this year were on an average 20 per cent higher over the last year. A time when demand exceeds supply is a good one for freshers, says Das. His advice to freshers is to focus on domain fundamentals and concepts because areas change. "For example, cloud computing is hot today. Tomorrow, it could be networking protocols. And security the day after. If your fundamentals are strong, you will switch from one job to another easily," he says. Nandimath says employees at TCS clocked 60.3 million learning hours last financial year to acquire digital competencies.

Taking a long-term view, Bhatia of Indian Staffing Federation says the supply gap will ease out. The sector will be adding headcount at a much faster pace than before. "The scale of things changes and that investment will take a few years," says Bhatia, who predicts a three-year time-frame for the current cycle of supply constraint to turn. Besides, having successfully navigated the pandemic exigency of remote working, IT companies, he feels, will sooner or later start spreading their employee centres from just Bengaluru, Hyderabad, Chennai, Delhi NCR or Mumbai to Tier-2 and Tier-3 towns.

For the moment, though, techies are calling the shots when it comes to jobs and pay packets. During the pandemic, many companies saved on real estate costs and therefore didn't hesitate to pay more for talent required on an immediate basis. However, this cycle will eventually push up their fixed costs. Given the global concerns of high inflation, industry watchers reckon that the current spike in attrition won't prolong. Wages, experts wager, will definitely mellow down in the upcoming quarters. Techies, meanwhile, are making the most of it. ■